

Sell \$8 billion, could run \$16 billion

Signal	The FT (Financial Times) reported Oct 1, 2026 that Amazon is in preliminary talks to sell about \$8 billion of Nvidia chips to a company set up for the deal and rent them back. No update by Oct 5.
Read	Amazon would keep using the \$8 billion of chips it sells; the \$8 billion it gets back can buy as many again (use not disclosed). That is \$16 billion in service, Est, on \$8 billion of its own money, plus rent on the first \$8 billion. Investors get Amazon-backed rent.
Cost	Amazon pays the vehicle rent; amount and term are not disclosed. Borrowing the same \$8 billion on its own five-year bonds costs 4.8% a year in interest; the leaseback's extra cost is any investor return above that, not disclosed.

The simple version

Like selling your house and renting it back: cash today, same front door. The vehicle (a company set up for one deal) buys the chips with outside investors' money: mostly its own bonds, plus up to 10% equity, per the FT. The vehicle owns the chips. Leases like this generally show up as lease obligations once they start (Moody's), so "off the books" may be only partly true.

Same money, twice the chips



Solid: chips Amazon sells and keeps using. Hatched: an estimate, since Amazon has not said how it will spend the cash.

The money walk

1. Before	2. Deal day	3. Cash back	4. Can buy	5. Each year
\$8 billion	\$8 billion	\$8 billion	\$16 billion Est	Rent
Nvidia chips Amazon is installing in more than a dozen US data centers.	The vehicle buys them with investors' bonds plus up to 10% equity. Amazon keeps using them.	Paid to Amazon. Nothing disclosed ties it to a use.	In service if the cash buys as many chips again. Scale: its 2026 spending plan is \$220 billion.	Amazon pays the vehicle rent; the vehicle pays its investors. Amount and term not disclosed.

The alternative, side by side

Sell the chips and rent them back	Borrow on its own five-year bonds
Cash raised	Cash raised
Yearly cost	Yearly cost
Shows up as	Shows up as
Who owns the chips	Who owns the chips
Loss if chips age fast	Loss if chips age fast

Chips sold and rented back, per the FT

Chips the cash back can buy

= Chips in service, Est

\$8 billion

\$8 billion

\$16 billion

Who else

Who	Counterparty	Size	Term	New or existing	The read
xAI	Vehicle led by Valor, Apollo	\$20 billion	5 yrs	New chips	Same vehicle design: up to \$12.5 billion of it is debt; Nvidia puts in up to \$2 billion equity.
Nvidia	Lambda	\$1.5 billion	4 yrs	Existing chips	The chipmaker itself rents back 18,000 of its own graphics processors.
CoreWeave	Banks, Blackstone anchor	\$8.5 billion	to 2032	Not stated (a loan)	Secured on chips plus a Meta contract, it won an investment-grade rating.
QumulusAI (small firm)	Tech Finance Co.	\$26 million	3 yrs	New chips	Leases 50 servers with an option to buy them at the end.

What it looks like for you

Term	3 years (small-firm lease) to 4.4 years (Lambda loan)
Rate, with a strong customer contract	SOFR (Secured Overnight Financing Rate, the US short-term benchmark that floating loans add a margin to) plus 2.25 percentage points, or about 5.9% fixed; investment grade (CoreWeave)
Rate, leveraged loan	SOFR plus up to 3.75 percentage points (Lambda loan, August 2026)
Repayment	Paid down fully over the term, no lump sum at the end (Lambda loan)
End of term	Option to buy the equipment (QumulusAI lease)
Deposit	not disclosed

What is not being said

Lease promises sit outside printed debt.

On Feb 26, 2026, Moody's counted \$662 billion of data-center lease commitments at five cloud giants that are not yet on their balance sheets. A giant's printed debt can understate what it has promised to pay, so read its lease notes too.

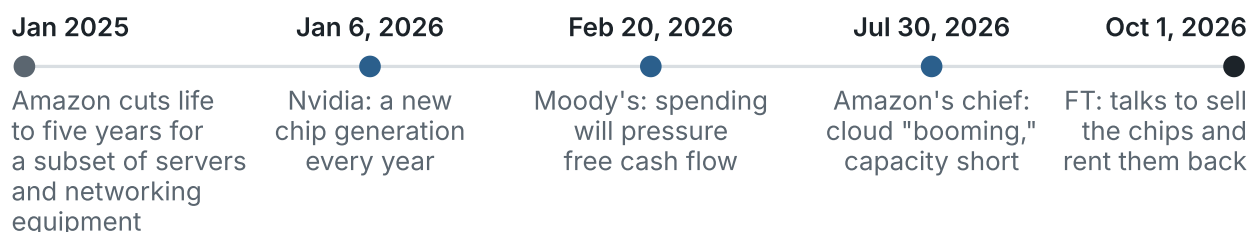
Nobody has said who loses if the chips age fast.

The FT report of Oct 1, 2026 gives no guarantee terms. In Meta's data-center deal (Oct 22, 2025), each lease runs four years with options to extend, but Meta promised its partner a cash payment if it does not renew or ends a lease within the first 16 years. If Amazon guarantees the chips' value, the risk never left Amazon.

Amazon is not short of lenders.

Rated double-A, it sold \$24.9 billion of bonds in July 2026 against about \$62 billion of peak demand, and has borrowed more than \$100 billion over the past year. For context, equipment spending ran \$7.6 billion ahead of operating cash in the 12 months to June 30, 2026.

The twist



Fact Amazon says it will not have enough capacity for 2026 or 2027 demand. The FT reports it is in talks to move chips it is still installing onto investors' books; Amazon declined to comment. Long-term debt already stood at \$128.9 billion on June 30, 2026.

The everyday version

Airlines do this all the time. Leasing companies order only 23% of new planes, yet own 53% of the world's commercial fleet (CAPA aviation data, February 2024). The difference is sale-and-leaseback: planes airlines ordered and took delivery of, then sold to a lessor and rented back, freeing cash and handing resale risk to the lessor.

Where it breaks: a chip is replaced by a newer one every year, so investors are betting that a superseded chip still earns rent late in the lease.

Three questions for an executive

For our largest supplier or customer, how much yearly rent sits in leases not yet on its balance sheet?

Then: add that rent to its debt before setting payment terms or credit limits.

Over how many years do we write down our computing gear, against its maker's one-year release cycle?

Then: if our write-off period spans several of its generations, price a lease against buying before the next order.

What margin over SOFR would lenders charge us for equipment with a signed anchor-customer contract, and without one?

Then: if the contract cuts our rate by more than it costs to win, sign it before asking lenders.

What to watch

Late Oct 2026 Amazon third-quarter results. Confirms the read if free cash flow stays an outflow and the \$220 billion 2026 spending plan holds or rises; breaks it if free cash flow turns to an inflow without the vehicle.

Second half 2026 Vera Rubin, Nvidia's successor to this deal's Grace Blackwell chips, is due to be available. Confirms the read if it ships while Grace Blackwell is being leased back for years; breaks it if it slips into 2027, extending Grace Blackwell's useful life.

Your judgment finishes this brief

This brief can't be perfect. Some human judgment shaped what it says and what it leaves out. It's built for learning, so engage with it: apply your own critical thinking, decide what's right or wrong, and ask the follow-up questions. Those calls are yours.